FINANCIAL MODELLING & VALUATION REPORT NVIDIA

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NVIDIA Financial Statement Model

Units: USD Millions

Income Statement (USD Millions)										
Fiscal Year	**FY2025**	**FY2024**	**FY2023**	**FY2022**	**FY2021**	**FY2020**	**FY2019**	**FY2018**	**FY2017**	**FY2016**
Revenue	130497	60922	26974	26914	16675	10918	11716	9714	6910	5010
	114%	*126%*	*0%*	*61%*	*53%*	*-7%*	*21%*	*41%*	*38%*	-
COGS	32639	16621	11618	9439	6279	4150	4545	3892	2847	2199
	96%	*43%*	*23%*	*50%*	*51%*	*-9%*	*17%*	*37%*	*29%*	-
Gross Profit	97858	44301	15356	17475	10396	6768	7171	5822	4063	2811
Gross Margin %	*75%*	*73%*	*57%*	*65%*	*62%*	*62%*	*61%*	*60%*	*59%*	-
R&D Expense	12914	8675	7339	5268	3924	2829	2376	1797	1463	1331
	49%	*18%*	*39%*	*34%*	*39%*	*19%*	*32%*	*23%*	*10%*	-
SG&A Expense	3491	2654	2440	2166	1940	1093	991	815	663	602
	32%	*9%*	*13%*	*12%*	*77%*	*10%*	*22%*	*23%*	*10%*	-
Total Operating Expenses	16405	11329	9779	7434	5864	3922	3367	2612	2126	1933
	45%	*16%*	*32%*	*27%*	*50%*	*16%*	*29%*	*23%*	*10%*	-
Operating Income (EBIT)	81453	32972	5577	10041	4532	2846	3804	3210	1937	878
Operating Margin %	*62%*	*54%*	*21%*	*37%*	*27%*	*26%*	*32%*	*33%*	*28%*	-
Interest Expense	-2573	-846	-43	-100	-123	-124	-92	-14	-29	-4
Pre-Tax Income	84026	33818	4181	9941	4409	2970	3896	3196	1905	743
	148%	*709%*	*-58%*	*125%*	*48%*	*-24%*	*22%*	*68%*	*156%*	-
Income Taxes	11146	4058	-187	189	77	174	-245	149	239	129
Income After Taxes	72880	29760	4368	9752	4332	2796	4141	3047	1666	614
	145%	*581%*	*-55%*	*125%*	*55%*	*-32%*	*36%*	*83%*	*171%*	-
Net Income	72880	29760	4368	9752	4332	2796	4141	3047	1666	614
	145%	*581%*	*-55%*	*125%*	*55%*	*-32%*	*36%*	*83%*	*171%*	-
EBITDA	83317	34480	5768	11215	5630	3227	4066	3409	2121	973
	142%	*498%*	*-49%*	*99%*	*74%*	*-21%*	*19%*	*61%*	*118%*	-
Basic Shares Outstanding	24555	24690	24870	24960	24670	24390	24320	23960	21640	21720
	-1%	*-1%*	*0%*	*1%*	*1%*	*0%*	*2%*	*11%*	*0%*	-
Shares Outstanding	24804	24940	25070	25350	25100	24720	25000	25280	25960	22760
Basic EPS	2.97	1.21	0.18	0.39	0.18	0.12	0.17	0.13	0.08	0.03
EPS - Earnings Per Share	2.94	1.19	0.17	0.39	0.17	0.11	0.17	0.12	0.06	0.03

Balance Sheet (USD Millions)										
Fiscal Year	**FY2025**	**FY2024**	**FY2023**	**FY2022**	**FY2021**	**FY2020**	**FY2019**	**FY2018**	**FY2017**	**FY2016**
Cash On Hand	43210	25984	13296	21208	11561	10897	7422	7108	6798	5037
Receivables	23065	9999	3827	4650	2429	1657	1424	1265	826	505
Inventory	10080	5282	5159	2605	1826	979	1575	796	794	418
Pre-Paid Expenses	3771	3080	791	366	239	157	136	86	118	93
Other Current Assets	-	-	-	-	-	-	-	-	-	-
Total Current Assets	80126	44345	23073	28829	16055	13690	10557	9255	8536	6053
Property, Plant, And Equipment	6283	3914	3807	2778	2149	1674	1404	997	521	466
Long-Term Investments										
Goodwill And Intangible Assets	5995	5542	6048	6688	6930	667	663	670	722	784
Other Long-Term Assets	6425	4500	3820	3841	2144	118	108	319	62	67
Total Long-Term Assets	31475	21383	18109	15358	12736	3625	2735	1986	1305	1317
Total Assets	111601	65728	41182	44187	28791	17315	13292	11241	9841	7370
Total Current Liabilities	18047	10631	6563	4335	3925	1784	1329	1153	1788	2351
Long Term Debt	8463	8459	9703	10946	5964	1991	1988	1985	2014	97
Other Non-Current Liabilities	4245	2541	1913	1553	1375	775	633	632	277	453
Total Long Term Liabilities	14227	12119	12518	13240	7973	3327	2621	2617	2291	550
Total Liabilities	32274	22750	19081	17575	11898	5111	3950	3770	4079	2901
Common Stock Net	24	25	2	3	3	1	1	1	1	1
Retained Earnings	68038	29817	10171	16235	18908	14971	12565	8787	6108	4350
Comprehensive Income	28	27	-43	-11	19	1	-12	-18	-16	-4
Other Share Holders Equity	-	-	-	-	-	-	-	-	-	-
Share Holder Equity	79327	42978	22101	26612	16893	12204	9342	7471	5762	4469
Total Liabilities And Share Holders Equity	111601	65728	41182	44187	28791	17315	13292	11241	9841	7370

Cash Flow Statement (USD Millions)										
Fiscal Year	**FY2025**	**FY2024**	**FY2023**	**FY2022**	**FY2021**	**FY2020**	**FY2019**	**FY2018**	**FY2017**	**FY2016**
Net Income/Loss	72880	29760	4368	9752	4332	2796	4141	3047	1666	614
Total Depreciation And Amortization	1864	1508	1544	1174	1098	381	262	199	187	226
Other Non-Cash Items	-1272	544	1936	1545	1095	867	197	71	498	386
Total Non-Cash Items	592	2052	3480	2719	2193	1248	459	270	685	612
Change In Accounts Receivable	-13063	-6172	822	-2215	-550	-233	-149	-440	-321	-32
Change In Inventories	-4781	-98	-2554	-774	-524	597	-776	0	-375	66
Change In Accounts Payable	3357	1531	-551	568	312	194	-135	90	184	-11
Change In Assets/Liabilities	826	-1008	-1265	-1523	-231	105	-53	21	-18	-16
Total Change In Assets/Liabilities	-9383	-3722	-2207	-3363	-703	717	-857	185	-679	-51
Cash Flow From Operating Activities	64089	28090	5641	9108	5822	4761	3743	3502	1672	1175
Net Change In Property, Plant, And Equipment	-3236	-1069	-1833	-976	-1128	-489	-600	-591	-169	-79
Net Change In Intangible Assets										
Net Acquisitions/Divestitures	-1007	-83	-49	-263	-8524	-4	0	0	0	0
Net Change In Short-term Investments	-14885	-8429	9334	-8591	-9989	6648	-3488	1869	-624	-345
Net Change In Long-Term Investments	-1315	-861	-77							
Net Change In Investments - Total	-16200	-9290	9257	-8591	-9989	6648	-3488	1869	-624	-345
Investing Activities - Other	22	-124	0	0	-34	-10	-9	0	0	24
Cash Flow From Investing Activities	-20421	-10566	7375	-9830	-19675	6145	-4097	1278	-793	-400
Net Long-Term Debt	-1250	-1250	0	3977	4968	0	0	0	1988	0
Net Current Debt							-16	-812	-673	0
Debt Issuance/Retirement Net - Total	-1250	-1250	0	3977	4968	0	-16	-812	1315	0
Net Common Equity Issued/Repurchased	-33216	-9130	-9684	281	0	0	-1579	-909	-739	-587
Net Total Equity Issued/Repurchased	-33216	-9130	-9684	281	0	0	-1579	-909	-739	-587
Total Common And Preferred Stock Dividends Paid	-834	-395	-398	-399	-395	-390	-371	-341	-261	-213
Financial Activities - Other	-7059	-2858	-1535	-1994	-769	-402	-900	-482	-24	124
Cash Flow From Financial Activities	-42359	-13633	-11617	1865	3804	-792	-2866	-2544	291	-676
Net Cash Flow	1309	3891	1399	1143	-10049	10114	-3220	2236	1170	99
Stock-Based Compensation	4737	3549	2709	2004	1397	844	557	391	247	204
Common Stock Dividends Paid	-834	-395	-398	-399	-395	-390	-371	-341	-261	-213

Calculation OF ROIC					
Fiscal Year	**FY2025**	**FY2024**	**FY2023**	**FY2022**	**FY2021**
Receivables	23065	9999	3827	4650	2429
Inventory	10080	5282	5159	2605	1826
Pre-Paid Expenses	3771	3080	791	366	239
Operating Current Assets	36916	18361	9777	7621	4494
Total Current Liabilities	18047	10631	6563	4335	3925
Net Working Capital	18869	7730	3214	3286	569
Non Current Assets	-	-	-	-	-
Net Property, Plant, And Equipment	6283	3914	3807	2778	2149
Goodwill And Intangible Assets	5995	5542	6048	6688	6930
Invested Capital	31147	17186	13069	12752	9648
Oprating Income (EBIT)	81453	32972	5577	10041	4532
Tax Rate	13.26%	12.00%	-4.47%	1.90%	1.75%
NOPAT	70648.31	29015.52	5826.44	9850.10	4452.85
ROIC	2.27	1.69	0.45	0.77	0.46

Cost of Equity (CAPM)	
Risk Free Rate	4.20%
Beta	1.7
Market Risk Premium	5.80%
Cost of Equity	**14.06%**

Capital Structure	
Share Price	110
Shares Outstanding	24,804
Market Value of Equity (E)	2728440
Total Debt	8,463
Total Capital (V)	2736903
Equity Weight (E/V)	99.69%
Debt Weight (D/V)	0.31%

WACC (Weighted Average Cost of Capital)	
Cost of Equity	14.06%
Equity Weight	99.69%
Cost of Debt (After Tax)	3.47%
Debt Weight	0.31%
WACC	**14.03%**

Cost of Debt	
Interest Expense	2,573
Total Debt	8,463
Implied Cost of Debt	30.40%
Assumed Cost of Debt	**4.00%**
Tax Rate	13.26%
After-Tax Cost of Debt	**3.47%**

Calculation Unlevered Free Cash Flow (UFCF).					
	FY2025	**FY2026**	**FY2027**	**FY2028**	**FY2029**
EBIT	81453	32972	5577	10041	4532
Tax Rate	13.26%	12.00%	-4.47%	1.90%	1.75%
NOPAT	70648.31	29015.52	5826.44	9850.10	4452.85
Depreciation & Amortization	1864	1508	1544	1174	1098
Capital Ependiture	3236	3236	3236	3236	3236
Change in Net Working Capital	11139	4516	-72	2717	569
Unlevered Free Cash Flow	**58137.31**	**22771.52**	**4206.44**	**5071.10**	**1745.85**

Calculation Of PV of FCF

	2025A	2026E	2027E	2028E	2029E
Revenue	130497	169646.10	212057.63	254469.15	292639.52
Revenue Growth	114.20%	0.30	0.25	0.20	0.15
EBIT	81453	101787.66	122993.42	142502.72	160951.74
EBIT Margin	62%	0.60	0.58	0.56	0.55
Tax Rate	13.26%	0.21	0.21	0.21	0.21
NOPAT	70648.31	80412.25	97164.80	112577.15	127151.87
D&A	1864	2423.20	3029.00	3634.80	4180.02
Corporate Tax	*1.4%*	0.01	0.01	0.01	0.01
CapEx % of revenue	*2.48%*				
CapEx	3236	4206.80	5258.50	6310.20	7256.73
NWC % revenue	*14%*				
NWC	18869	24529.70	30662.13	36794.55	42313.73
ΔNWC		5660.70	6132.43	6132.43	5519.18
Free Cash Flow	50407.31	72967.95	88802.88	103769.33	118555.98
Discounting Factor		0.877	0.769	0.674	0.592
PV of FCFF		63992	68298	69991	70128

Expected Growth	
Terminal Growth rate	2.50%
WACC	**14.03%**

Calaculation of Terminal Value

Terminal Growth	0.025
WACC	0.140
	0.115
Final Year FCF (2029)	118555.98
FCF in Terminal Year (2030)	121519.8795
Terminal Value	**1054203.84**
Discount Factor	**1.69**

Calculation of Equity Value Per Share

PV of FCFF	272409.15
PV of Terminal Value	624173.30
Enterprise Value	**896582.46**
Add:Cash	43210
Less:Debt	8463
Equity Value	931329.46
Shares Outstanding	24804
Implied Share Price	**$ 37.55**

Sensitivity Analysis – Implied Share Price

WACC \ g	1.50%	2.00%	2.50%	3.00%
12%	48	52	57	63
13%	41	44	48	52
14%	34	36	38	41
15%	30	32	34	36
16%	26	28	30	32

Comparable Company Valuation											
	Market Data					Financials			Valuation		
Company	Share Price	Shares Outstanding	Equity Value	Net Debt	Enterprise Value	Revenue	EBITDA	Net Income	EV/Revenue	EV/EBITDA	P/E
NVIDIA	110	24,804	2728440	-34,747	26,93,693	1,30,497	83,317	72,880	20.6	32.3	37.4
AMD	180	1,620	291600	1,200	2,92,800	23,600	4,800	2,200	12.4	61.0	132.5
Intel	44	4,220	185680	36,000	2,21,680	54,200	13,000	1,700	4.1	17.1	109.2
Broadcom	1,350	470	634500	38,000	6,72,500	35,800	23,600	14,000	18.8	28.5	45.3
Qualcomm	175	1,110	194250	-8,000	1,86,250	36,300	13,500	9,200	5.1	13.8	21.1
TSMC	140	5,180	725200	-22,000	7,03,200	69,300	44,200	31,800	10.1	15.9	22.8
Low (Min)									4.09	13.80	21.11
25th Percentile									6.38	16.20	26.46
Median									**11.28**	**22.77**	**41.38**
Average									**11.87**	**28.10**	**61.41**
75th Percentile									17.19	31.37	93.25
High (Max)									20.64	61.00	132.55

Nvidia Comparable Valuation	EV/Revenue	EV/EBITDA	P/E
Implied Enterprise Value	1471612.44	18,97,464	—
Net Debt	-34747.00	-34,747	—
Implied Market Value	1506359.44	19,32,211	30,02,656
Shares Outstanding	24804.00	24,804	24,804
Implied Value Per Share	**$60.73**	**$77.90**	**$121.06**
	OVERVALUED	OVERVALUED	SLIGHTLY UNDERVALUE

Advanced Micro Devices Comparable Valuation	EV/Revenue	EV/EBITDA	P/E
Implied Enterprise Value	2,66,137	1,09,315	—
Net Debt	-1,200	-1,200	—
Implied Market Value	2,67,337	1,10,515	90,640
Shares Outstanding	1,620	1,620	1,620
Implied Value Per Share	**$165.02**	**$68.22**	**$55.95**

Intel Comparable Valuation	EV/Revenue	EV/EBITDA	P/E
Implied Enterprise Value	6,11,212	2,96,062	—
Net Debt	-36,000	-36,000	—
Implied Market Value	6,47,212	3,32,062	70,040
Shares Outstanding	4,220	4,220	4,220
Implied Value Per Share	**$153.37**	**$78.69**	**$16.60**

Broadcom Comparable Valuation	EV/Revenue	EV/EBITDA	P/E
Implied Enterprise Value	4,03,716	5,37,467	—
Net Debt	-38,000	-38,000	—
Implied Market Value	4,41,716	5,75,467	5,76,800
Shares Outstanding	470	470	470
Implied Value Per Share	**$940**	**$1,224**	**$1,227**

Qualcomm Comparable Valuation	EV/Revenue	EV/EBITDA	P/E
Implied Enterprise Value	4,09,354	3,07,449	—
Net Debt	8,000	8,000	—
Implied Market Value	4,01,354	2,99,449	3,79,040
Shares Outstanding	1,110	1,110	1,110
Implied Value Per Share	**$361.58**	**$269.77**	**$341.48**

Taiwan Semiconductor Manufacturing Company Comparable Valuation	EV/Revenue	EV/EBITDA	P/E
Implied Enterprise Value	7,81,495	10,06,612	—
Net Debt	22,000	22,000	—
Implied Market Value	7,59,495	9,84,612	13,10,160
Shares Outstanding	5,180	5,180	5,180
Implied Value Per Share	**$146.62**	**$190.08**	**$252.93**

DUPONT ANALYSIS					
Return on Equity					
	FY2021	**FY2022**	**FY2023**	**FY2024**	**FY2025**
Net Profit	4,332	9,752	4,368	29,760	72,880
Average Shareholder's Equity	16,893	26,612	22,101	42,978	79,327
Return on Equity	**25.64%**	**36.65%**	**19.76%**	**69.24%**	**91.87%**

Return on Equity – DuPont Equation					
Net Profit	4,332	9,752	4,368	29,760	72,880
Revenue	16,675	26,914	26,974	60,922	1,30,497
Net Profit Margin (A)	**26.00%**	**36.20%**	**16.20%**	**48.80%**	**55.90%**
Revenue	16,675	26,914	26,974	60,922	1,30,497
Average Total Assets	28,791	44,187	41,182	65,728	1,11,601
Assets Turnover Ratio (B)	**0.58**	**0.61**	**0.65**	**0.93**	**1.17**
Average Total Assets	28,791	44,187	41,182	65,728	1,11,601
Average Shareholder's Equity	16,893	26,612	22,101	42,978	79,327
Equity Multiplier (C)	**1.7**	**1.66**	**1.86**	**1.53**	**1.41**
Return on Equity (A×B×C)	**25.64%**	**36.66%**	**19.59%**	**69.44%**	**92.22%**

Return on Assets					
	FY2021	**FY2022**	**FY2023**	**FY2024**	**FY2025**
Net Profit	4,332	9,752	4,368	29,760	72,880
Average Total Assets	28,791	44,187	41,182	65,728	1,11,601
Return on Assets	**15.05%**	**22.07%**	**10.61%**	**45.28%**	**65.30%**

Return on Assets – DuPont Equation					
Net Profit	4,332	9,752	4,368	29,760	72,880
Revenue	16,675	26,914	26,974	60,922	1,30,497
Net Profit Margin (A)	**25.98%**	**36.23%**	**16.19%**	**48.85%**	**55.85%**
Revenue	16,675	26,914	26,974	60,922	1,30,497
Average Total Assets	28,791	44,187	41,182	65,728	1,11,601
Assets Turnover Ratio (B)	**0.58**	**0.61**	**0.65**	**0.93**	**1.17**
Return on Assets (A×B)	**15.05%**	**22.07%**	**10.61%**	**45.28%**	**65.30%**

DuPont Analysis Summary

(FY2021–FY2025 for NVIDIA)

ROE increased significantly from ~26% in FY2021 to ~92% in FY2025, indicating a substantial improvement in shareholder returns over the period.

Net Profit Margin rose sharply, especially after FY2023, driven by strong demand for AI and data-center GPUs and improved pricing power.

Asset Turnover improved steadily, meaning NVIDIA generated more revenue per dollar of assets as operations scaled.

Equity Multiplier declined slightly, indicating the company relied less on financial leverage over time.

The rise in **ROE was primarily driven by operational performance (profitability and efficiency)** rather than increased debt.

ROA also increased substantially, reflecting improved asset productivity and stronger overall operational efficiency.

Overall, the DuPont analysis shows that NVIDIA's growth in shareholder returns was mainly supported by **higher margins and better asset utilization**, not financial leverage.

Altman Z-Score Calculation:

Working Capital / Total Assets

	FY2021	FY2022	FY2023	FY2024	FY2025
Working Capital	12,561	24,494	16,510	33,714	62,079
Total Assets	28,791	44,187	41,182	65,728	1,11,601
Working Capital / Total Assets (A)	**0.44**	**0.55**	**0.4**	**0.51**	**0.56**

Retained Earnings / Total Assets

	FY2021	FY2022	FY2023	FY2024	FY2025
Retained Earnings	18,908	16,235	10,171	29,817	68,038
Total Assets	28,791	44,187	41,182	65,728	1,11,601
Retained Earnings / Total Assets (B)	**0.66**	**0.37**	**0.25**	**0.45**	**0.61**

EBIT / Total Assets

	FY2021	FY2022	FY2023	FY2024	FY2025
EBIT	4,532	10,041	5,577	32,972	81,453
Total Assets	28,791	44,187	41,182	65,728	1,11,601
EBIT / Total Assets (C)	**0.16**	**0.23**	**0.14**	**0.5**	**0.73**

Market Capitalisation / Total Liabilities

	FY2021	FY2022	FY2023	FY2024	FY2025
Market Capitalisation	3,50,000	4,50,000	6,00,000	12,00,000	27,28,440
Total Liabilities	11,898	17,575	19,081	22,750	32,274
Market Cap / Total Liabilities (D)	**29.41**	**25.61**	**31.45**	**52.75**	**84.52**

Sales / Total Assets

	FY2021	FY2022	FY2023	FY2024	FY2025
Sales	16,675	26,914	26,974	60,922	1,30,497
Total Assets	28,791	44,187	41,182	65,728	1,11,601
Sales / Total Assets (E)	**0.58**	**0.61**	**0.65**	**0.93**	**1.17**

Altman Z-Score

	FY2021	FY2022	FY2023	FY2024	FY2025
Altman Z-Score	**20.8**	**19.3**	**22.4**	**36.7**	**58.9**
Status	Safe	Safe	Safe	Safe	Safe

Score	
2.99	| Safe zone |
1.81 – 2.99	| Grey zone |
< 1.81	| Distress zone |

Interpretation

NVIDIA's scores are **far above 2.99**, indicating **extremely low bankruptcy risk** and strong financial stability.